A Grand Orchestration

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The stage is set for a magnificent year in review. An extraordinary period that saw GIA hitting all the high notes and scoring new milestones. A concerted series of events that allowed us to engage closer our stakeholders, business associates and future talent pool. Culminating in a soaring symphony of achievements made possible by the meticulous orchestration and tireless dedication of many.

Let us take a moment to applaud the unwavering efforts that have amplified the growth of Singapore's flourishing General Insurance industry.

CHAPTER

I

The Grand Ensemble



MEET THE DIVERSE AND DYNAMIC PEOPLE BEHIND THE SCENES WHO HAVE BEEN INSTRUMENTAL IN COORDINATING AND HARMONISING A YEAR OF EXEMPLARY PERFORMANCE.

President's Message

THERE IS NO BETTER TESTAMENT TO THE GENERAL INSURANCE INDUSTRY'S RESILIENCE THAN IN TIMES OF ECONOMIC UNCERTAINTY. WHILE OUR INDUSTRY IS NOT COMPLETELY IMMUNE FROM DOWNTURNS, IT IS ABLE TO BETTER WITHSTAND GLOBAL TURBULENCES, GIVEN THE CRUCIAL ROLE IT PLAYS IN KEEPING ECONOMIES AND BUSINESSES GOING AND ITS FUNDAMENTAL ROLE IN RISK MITIGATION.

Derek Teo

This fact was well proven by the Singapore domestic General Insurance industry last year when it delivered a total gross premium income of $3.17 billion, an increase of 4.5% over 2010, despite a slower growth in the Singapore economy.

On top of maintaining six consecutive years of positive growth, the domestic General Insurance industry delivered a stronger performance last year compared to the 3.7% growth in 2010. All our major classes of business posted increases in net earned premiums, led by Health's 14% growth.

STRONGER UNDERWRITING RESULTS

As a sign of the industry's greater underwriting discipline and the effects of increased efficiencies, total underwriting profit leapt 25% to $248.3 million, up from $198.1 million in 2010. The robust performance by Motor with $21.2 million in underwriting profit, rising from a loss of $48.9 million in 2010, was one of the main drivers for the overall good performance. Marine Hull and Health also delivered excellent results with $13.6 million and $8.8 million, up by 95% and 91% respectively.

Unfortunately, all other major segments showed deterioration in underwriting profit last year, with Work Injury Compensation (WIC) posting the biggest decline with a dip of 28% to $3.6 million – a reversal of its remarkable performance in 2010 which saw its underwriting profit soar 141% to $5 million. Fire also suffered a 28% fall in its underwriting income, from $62.9 million in 2010 to $45.5 million last year.

Personal Accident posted an underwriting income of $44.9 million, down 9.5% from $49.6 million in 2010. Marine Cargo continued to show deterioration in its underwriting profit at $29.9 million, down 16% from $35.7 million in the year prior, following an 8% decrease in 2010 – mirroring the very challenging nature of the maritime and shipping industry.

On a brighter note, the financial lines classes of business, such as Professional Indemnity and Directors & Officers Liability Insurance (D&O), have done well and are poised for greater growth. Professional Indemnity made a record underwriting profit of $14.5 million, up 695% from $1.8 million in 2010. There is growing recognition of the need for greater corporate governance by companies here.

Also looking highly positive, the industry's total incurred loss ratio continued to make progress. It stood at 54.8% last year, a 2.8% improvement from 57.6 % in 2010. Hull made the biggest improvement from 61.9% in 2010 to 54.0% last year, followed by Motor with a 5.9% gain to 67.8% from 73.7% in the year prior.

MOTOR GAINING HEALTHY FOOTING

After challenging years on the Motor front, I am glad to share that we have started to see fruits from our efforts and collaboration with partners in the areas of pricing and claims management. Our robust underwriting result last year is a testament to this.

On top of disciplined pricing by our members, we can attribute the improvements in our Motor business, which takes up 38% share of total premiums, to several initiatives that have started to bear results. Firstly, we have seen better overall adherence to the Motor Claims Framework (MCF), which has encouraged proactive and timely engagement with third party claimants. With greater awareness of and compliance to the framework through the cooperation of our motor insurers, and our efforts to educate motorists of this best practice, MCF has not only given consumers more efficient claims, but also helped insurers contain their claims costs.

Secondly, the pre-repair inspection protocol requirement under the Non-Injury Motor Accident Protocol of the Subordinate Courts, implemented since May 2011, has also helped us lower the number of disputes in motor claims and cases of inflated claims. Thanks to the Motor Insurance Taskforce's push for this requirement for all Third Party Property Damage claims, our third party insurers have been given the first opportunity to see where the points of contact are and assess their consistency with what has been reported.

We hope that this requirement will continue to improve transparency in the submission of third party damage claims by third party workshops, and in the coming years, help reduce inflated claims costs for our insurers. We will continue to refine the protocol and look out for areas where we can introduce improvements or changes to ensure that there are no gaps or weaknesses that may hamper the achievement of its goal.

Thirdly, the Singapore Subordinate Courts' decision, based on the Motor Insurance Taskforce's recommendation, to raise the FIDReC-Non-Injury Motor Accident protocol limit from $1,000 to $3,000 has very well helped our industry speed up the resolution of motor accident disputes.

It is hoped that these measures will continue to reduce the Motor segment's incurred loss ratio,



THE SINGAPORE GENERAL INSURANCE INDUSTRY DELIVERED A TOTAL GROSS PREMIUM INCOME OF $3.17 BILLION, AN INCREASE OF 4.5% OVER 2010, DESPITE A SLOWER GROWTH IN THE ECONOMY.

WITH THE SUPPORT OF OUR KEY PARTNERS AND MEMBERS, WE HAVE STRUCK A CHORD AMONG CONSUMERS ON OUR VARIOUS PRODUCTS AND SERVICES.



which saw a decrease of 5.9% last year, and maintain this portfolio's profitability. This, of course, does not only help our motor insurers and industry. We can also expect these benefits to percolate to our consumers through the stabilisation of motor insurance premiums.

REACHING OUT FURTHER

I would also like to highlight the importance and role of our continuous consumer education initiatives in helping to achieve our strong results last year. With the support of our key partners and members, we have struck a chord among consumers on our various products and services. Our public seminar "Motoring & You", for example, has been reaching out to the motoring public to help them understand the steps they need to take during a road traffic accident to avoid becoming victims of touts and settle their claims properly. Thanks to the support of the Automobile Association of Singapore (AAS) and Consumers Association of Singapore (CASE), this public seminar has been gaining strength.

Last year, we introduced two new seminars to reach out to more consumers in the other areas of our business. In cooperation with the National Association of Travel Agents Singapore (NATAS) and CASE, we conducted the first "Travelling & You" seminar to educate consumers on things they need to keep in mind when travelling overseas. Another first was the Education Seminar Series on Fire, co-organised with the Singapore Civil Defence Force (SCDF) and National Fire and Civil Emergency Preparedness Council (NFEC), which attracted a very enthusiastic response from General Insurance professionals.

MOVING FORWARD

I would like to record my thanks to those who continue to make it possible for us to meet our objectives and do more in the coming years. To our members and associates, thank you for your trust and support of GIA's leadership and initiatives, and for participating along with your staff in our various activities.

My gratitude goes out to our ever hardworking GIA Secretariat for their work on the ground which have not only met our objectives but also achieved results beyond our expectations. They have made us proud in ensuring the success of activities such as our various public and industry seminars. Special mention must be made for the excellent running of the 37th ASEAN Insurance Council (AIC) Meeting and the 14th ASEAN Insurance Regulators' Meeting (AIRM) in Singapore, a joint effort with the teams from Life Insurance Association (LIA) and the Monetary Authority of Singapore (MAS). We can all take pride in the fact that this ASEAN event, held after a 10-year hiatus in Singapore, was a great success.

I also want to thank my fellow members of the GIA Management Committee, who continue to serve with strong commitment and dedication to ensure the overall growth of our industry.

While we celebrate another year of strength and a truly remarkable performance, let us keep in mind the challenges we have ahead. 2012 is expected to be another challenging year for the global insurance industry, with premiums and investment income seeing pressure amid threats of another recession in the West and economic slowdown in many parts of the world. For our domestic General Insurance industry, we know that we will not only survive another challenging year but also deliver strongly as long as we work closely with our partners, members and stakeholders. Thank you for your support of GIA. I look forward to another year of greater cooperation and camaraderie. •

Derek Teo, President

Executive Director's Message

IN 2011, GIA IMPLEMENTED OUR PLANS SUCCESSFULLY IN THE AREAS OF TALENT BUILDING, WORKING WITH THE ASEAN INSURANCE INDUSTRIES, GAINING REGULATORY SUPPORT FOR THE GENERAL INSURANCE BUSINESS AND ADVANCING GREATER KNOWLEDGE SHARING IN THE INDUSTRY – ALL IN SPITE OF THE GLOBAL UNCERTAINTIES THAT CONFRONTED US. THESE ACHIEVEMENTS WOULD NOT HAVE BEEN POSSIBLE WITHOUT THE UNWAVERING SUPPORT OF OUR MEMBERS AND STAKEHOLDERS.

Mark Lim

The relocation to our new office at Bangkok Bank Building on Cecil Street in Singapore's central business district coincided with the 45th Anniversary of GIA since its inception in 1966. It was an excellent choice of location given the ample and cost-effective space for our Secretariat, various committee meetings and room to host visitors from the industry and overseas.

As a show of the industry's trust in us, GIA has grown into a 36-member strong association with the addition of CIGNA Europe Insurance Company S.A. – N.A. Singapore Branch into our fold.

ADVANCING ASEAN CO-OPERATION

The highlight of our activities last year was the hosting of the 37th ASEAN Insurance Council (AIC) Meeting and the 14th ASEAN Insurance Regulators' Meeting (AIRM). Both events were jointly organised with the Life Insurance Association (LIA) and the Monetary Authority of Singapore (MAS) in cooperation with the AIC Secretariat.

We are happy to share that the GIA team, along with those from the LIA and the MAS, rose to the occasion to ensure a comfortable experience for over 100 delegates from all 10 ASEAN member countries. Besides making sure that the various committee meetings proceeded smoothly and efficiently, we also successfully co-hosted social events and a welcome dinner for the delegates.

The committee meetings produced various proposals which the AIC aims to carry out before its next meeting in Thailand in December 2012. Among these proposals were the publication of a journal on natural disasters for member countries and the setting up of technical working groups within each assigned member country to do research/study on micro-insurance, natural catastrophes, solvency requirements and contract certainty.

The AIC's joint plenary meeting with the regulators highlighted the need for data sharing. AIRM members urged the ASEAN insurance markets to share information among each other and with their regulators in areas like natural catastrophes and fraud management. On fraud management, both the AIC and AIRM acknowledged that the issue required joint partnership not only between the industry and regulators, but also



I AM PROUD TO SAY THAT OUR HARD WORK AND COMMITMENT TO CONSUMER EDUCATION WERE RECOGNISED WHEN CASE CONFERRED ON GIA THE PRESTIGIOUS "FRIEND OF CASE AWARD" FOR 2011.



with other pertinent agencies. As for natural disasters, the AIC urged regulators to work more with the academia and modelling companies to gain further understanding of the risks of natural catastrophes in the region.

GAINING GROUND IN TALENT BUILDING

We continued with our sustained push to bring more talent into the industry as we marked the fifth year of our Talent Outreach Project (TOP) with notable achievements. Our Global Internship Programme (GIP) had a record year attracting many applications from the three universities – NUS, NTU and SMU – out of which 40 interns were selected after careful screening. This was by all means noteworthy when compared to the year 2010, when we placed 33 interns with participating insurance companies.

We are once again thankful to our regulator MAS and members for their support of the GIP, particularly to the 27 insurance companies that took part last year to host our 40 interns by providing them job roles, project assignments and exposure to various areas of the business.

TOP was originally targeted at schools, junior colleges, universities, tertiary institutions, and young professionals in the financial services industry. Last year however, we decided to focus on the tertiary segment of various disciplines. We believe this cohort has the most potential to join the industry after completing their degrees, not to mention the fact that they have sufficient educational qualifications to eventually become successful insurance professionals.

While still on the subject of TOP, we are happy to note that our participation in four career fairs last year yielded almost 200 CVs for full-time employment positions in the industry. We will continue to be active on this front, not only to bring in more prospective practitioners into the business, but also to promote the industry as one that offers unique and rewarding career opportunities. Keeping to what we have done over the past years, we will maintain a consistent branding for the industry and bolster it further in our future activities to attract more qualified individuals.

LEADING EFFORTS IN KNOWLEDGE SHARING

Recognising the importance of not only boosting knowledge of the business but also sharing it with the industry, we continued to organise seminars and talks for our members and promote consumer education. Last year marked two firsts in our efforts: We co-organised for the first time "Travelling & You", a consumer education seminar on overseas travel, in cooperation with the National Association of Travel Agents Singapore (NATAS) and Consumers Association of Singapore (CASE); and the Education Seminar Series on Fire, in collaboration with the Singapore Civil Defence Force (SCDF) and the National Fire and Civil Emergency Preparedness Council (NFEC). Both events recorded high turnouts, with participants expressing interest to join similar seminars in the future. I am proud to say that our hard work and commitment to consumer education were recognised when CASE conferred on GIA the prestigious "Friend of CASE Award" for 2011.

KEEPING SPIRITS HIGH

To keep the spirit of camaraderie within the industry strong, we have been celebrating GI Day every year.

In 2011, we continued the tradition in a relaxed and fun way by holding a bowling competition themed "Bowlin' Good Times". Sixteen teams from 11 companies joined us not only to compete and have fun, but also to build networks and new friendships within the industry.

STILL SWINGING AND GIVING

Of course, the year would not end on a high note without GIA giving back to the community. Our annual golf tournament, "GIA Swing for Charity", attracted 140 professionals from the industry with the prize-giving dinner raising more than $100,000 for the Children's Aid Society, our chosen beneficiary for 2011. The amount raised was indeed impressive considering last year's uncertain economic environment. Our utmost thanks go to our members and stakeholders who have been generously supporting us in this worthy endeavour year after year.

ALTHOUGH 2011 WAS A YEAR SHROUDED IN UNCERTAINTY, WE AT GIA LEARNED THAT WE COULD ACHIEVE OUR GOALS REGARDLESS OF THE KIND OF ENVIRONMENT WE WERE IN, AS LONG AS WE MAINTAINED COOPERATION, PERSEVERANCE AND FOCUS.

COMMITTED TO WEATHER CHALLENGES

Although 2011 was a year shrouded in uncertainty, we at GIA learned that we could achieve our goals regardless of the kind of environment we were in, as long as we maintained cooperation, perseverance and focus. The year 2012 will be no different for us as we remain committed to play a proactive role and introduce more initiatives that will help the industry and our members confidently confront their challenges and capitalise on the opportunities available in the market.

Mark Lim, Executive Director

e Management Committee is responsible for charti
he way forward for the Association. The Committe
etermining the policies, initiatives and activities
dopt, in the interest of members and GIA membe
he Management Committee gives the association th
rection it needs to develop the Singapore insura



Management Committee

PRESIDENT

Derek Teo

Chartis Singapore Insurance Pte. Ltd.



President 1 2 3 4 5 6 7 8

Vice President 1 2 3 4 5 6 7 8

VICE PRESIDENT

Dr. Michael Goodwin

QBE Insurance (International) Limited



MEMBER

Stella Tan

Tenet Insurance Company Ltd



Member 1 2 3 4 5 6 7 8

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MEMBER

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HSBC Insurance (Singapore) Pte Ltd



MEMBER

Chua Kim Soon

AXA Insurance Singapore Pte Ltd



Member 1 2 3 4 5 6 7 8

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MEMBER

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NTUC Income Insurance Co-operative Ltd



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A.K. Cher

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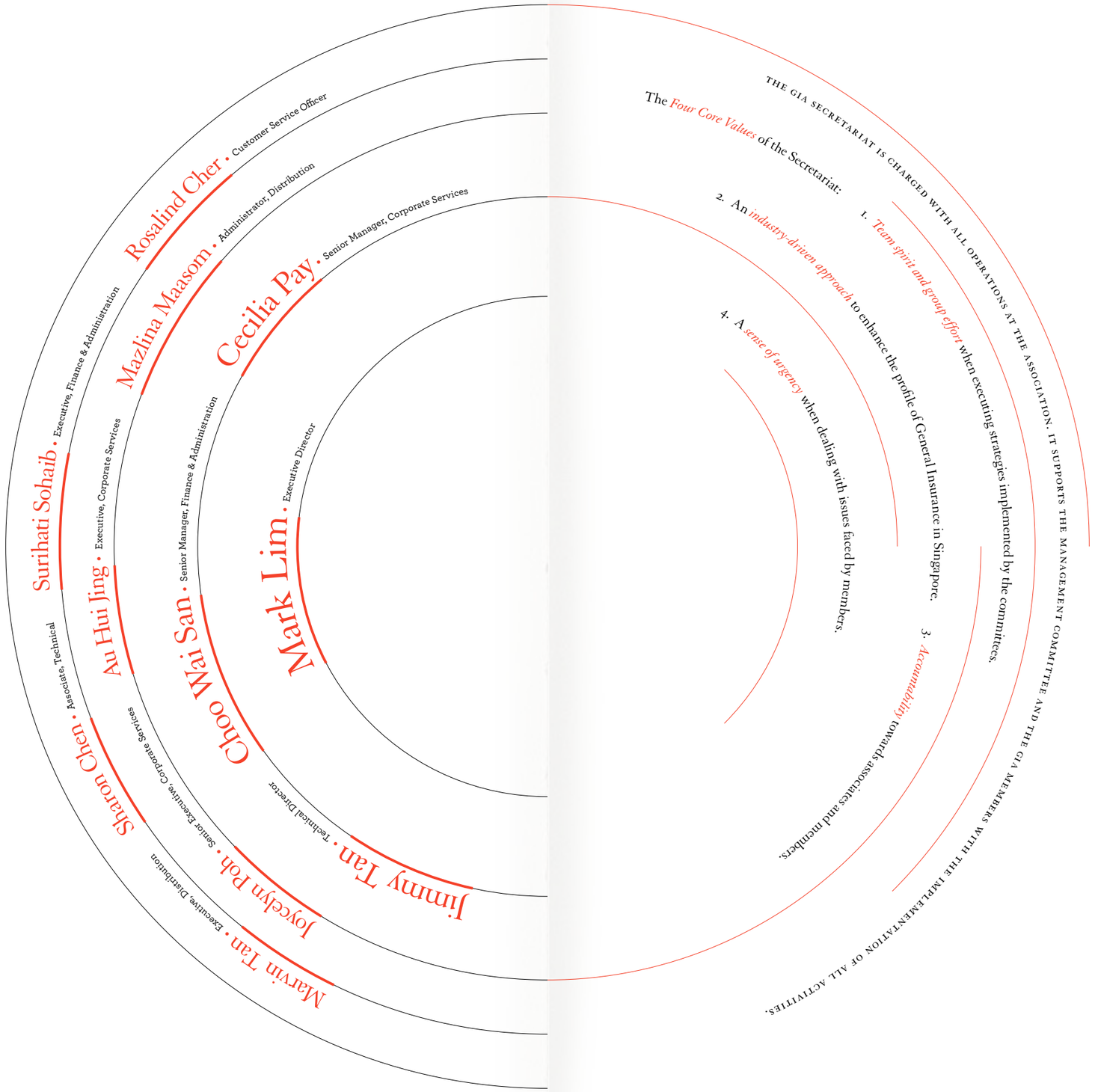
MEMBER

Andrew Lim

MSIG Insurance (Singapore) Pte Ltd



Secretariat



THE GIA SECRETARIAT IS CHARGED WITH ALL OPERATIONS AT THE ASSOCIATION. IT SUPPORTS THE MANAGEMENT COMMITTEE AND THE GIA MEMBERS WITH THE IMPLEMENTATION OF ALL ACTIVITIES.

The *Four Core Values* of the Secretariat:

1. *Team spirit and group effort* when executing strategies implemented by the committees.
2. An *industry-driven approach* to enhance the profile of General Insurance in Singapore.
3. *Accountability* towards associates and members.
4. A *sense of urgency* when dealing with issues faced by members.

Members of Committees

(1)

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Tenet Insurance Company Ltd

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(From Oct 2011)

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(Up to Sep 2011)

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(From Oct 2011)

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NTUC Income Insurance Co-operative Ltd

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Tokio Marine Insurance Singapore Ltd

(2)

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• TEL 6829 9199
• FAX 6829 9249
• www.shccapital.com.sg

SINGAPORE AVIATION & GENERAL INSURANCE CO (PTE) LTD
25 Airline Road #06A
Airline House
Singapore 819829
• TEL 6542 3333
• FAX 6545 0221

SOMPO JAPAN INSURANCE (SINGAPORE) PTE LTD
50 Raffles Place #03-03
Singapore Land Tower
Singapore 048623
• TEL 6223 5293
• FAX 6225 7947
• www.sompojapanasia.com

TENET INSURANCE COMPANY LTD
50 Raffles Place #05-01 / 06
Singapore Land Tower
Singapore 048623
• TEL 6221 2211
• FAX 6221 3302
• www.tenetinsurance.com

TOKIO MARINE INSURANCE SINGAPORE LTD
20 McCallum Street #09-01
Tokio Marine Centre
Singapore 069046
• TEL 6221 6111
• FAX 6221 4355 / 6224 0895
• www.tokiomarine.com.sg

UNITED OVERSEAS INSURANCE LTD
3 Anson Road #28-01
Springleaf Tower
Singapore 079909
• TEL 6222 7733
• FAX 6327 3869
• www.uoi.com.sg

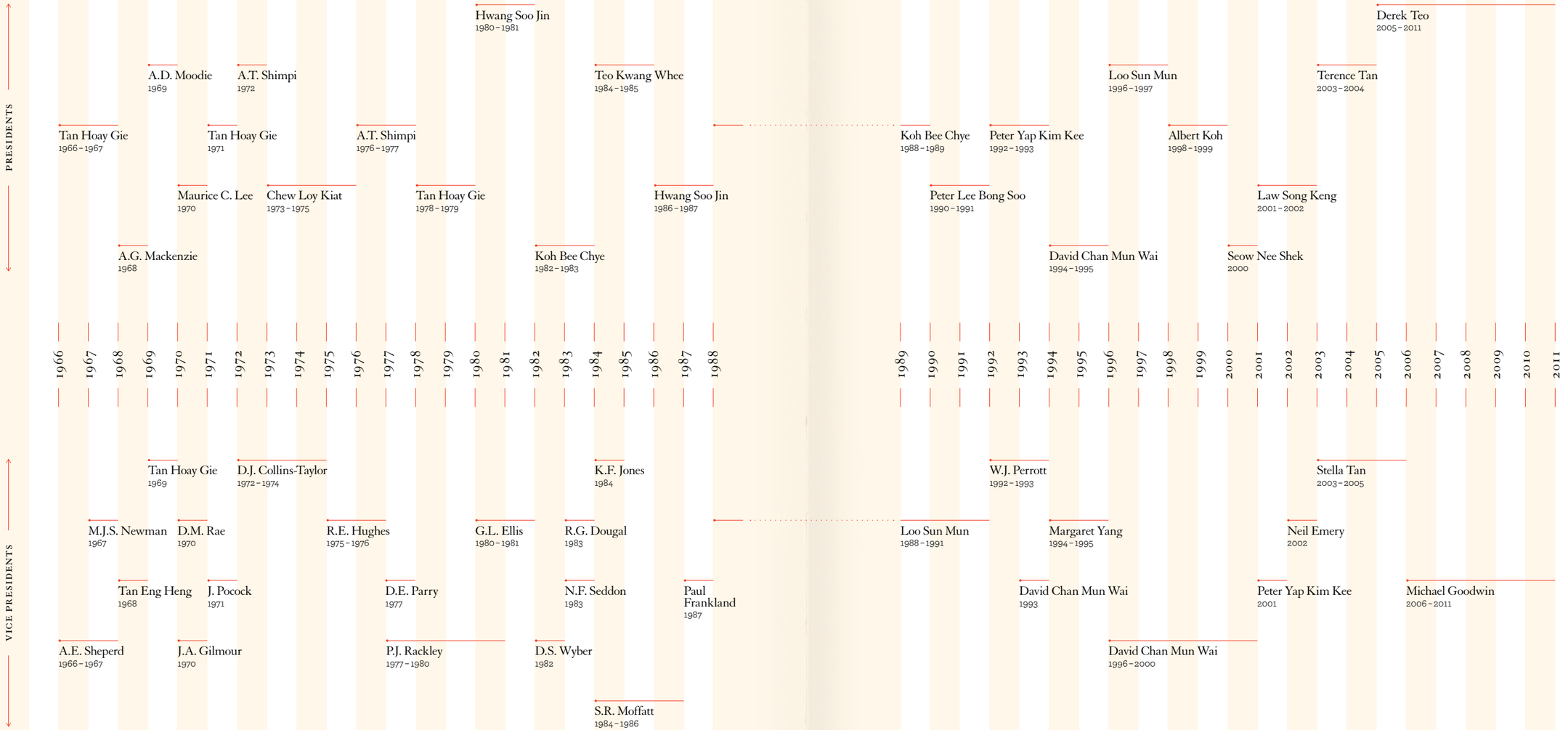
XL INSURANCE COMPANY LIMITED (SINGAPORE BRANCH)
1 Raffles Place #56-00
One Raffles Place
Singapore 048616
• TEL 6603 1200
• FAX 6603 1201
• www.xlinsurance.com

ZURICH INSURANCE COMPANY LTD (SINGAPORE BRANCH)
50 Raffles Place #29-01
Singapore Land Tower
Singapore 048623
• TEL 6236 2210
• FAX 6538 4184
• www.zurich.com

Associate Member

SINGAPORE REINSURERS' ASSOCIATION
85 Amoy Street
Singapore 069904
• TEL 6324 7388
• FAX 6224 8910
• www.sraweb.org.sg

Former Presidents & Vice Presidents



CHAPTER

II

A Grand Performance



THROUGH CAREFUL FINE-TUNING OF PROCESSES, WE HAVE MASTERED A THREE-PRONGED APPROACH TO EFFECTIVELY REACH OUT AND ENGAGE THE PUBLIC AS WELL AS INDUSTRY AND REGIONAL PRACTITIONERS.

Corporate Calendar 2011

EACH DAY BRINGS NEW OPPORTUNITIES TO DO MORE FOR OUR INDUSTRY – TO REACH OUT, CONNECT AND COMMUNICATE.


3



2

Jan

22 JAN (1)
"Motoring & You" Seminar

27–28 JAN
NTU Career Fair

Feb

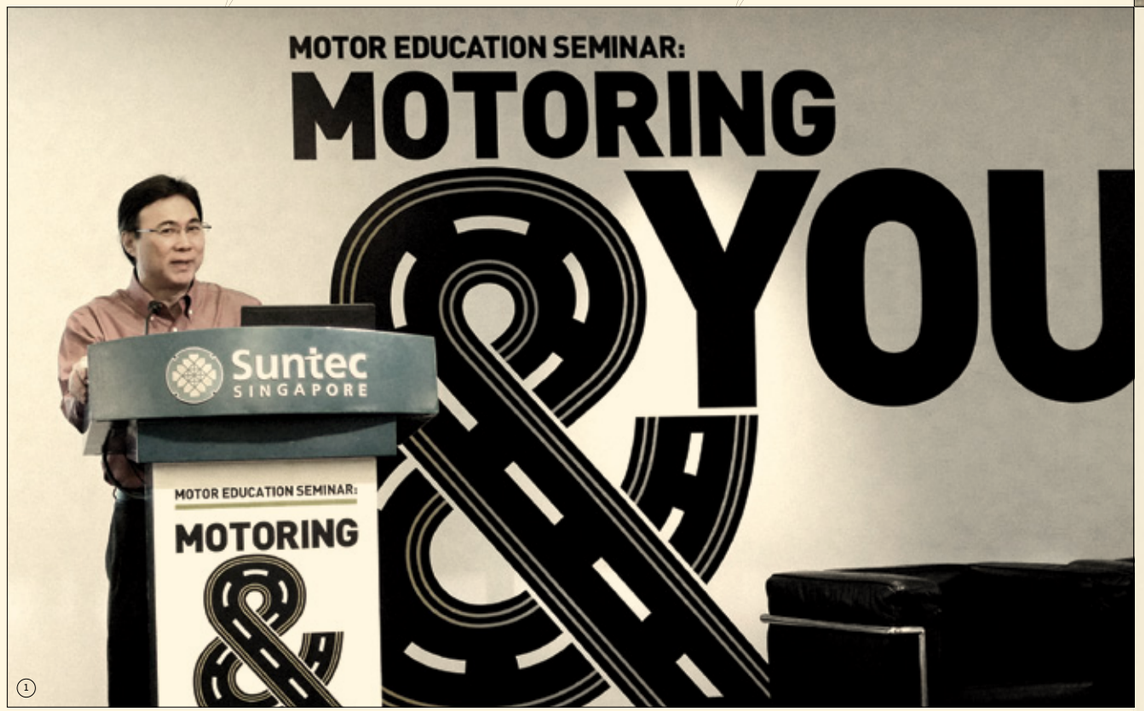
16 FEB
SMU SAS Fair

17 FEB
NTU Risk Management Profiling Talk

21 FEB (2)
"Liability & Casualty" Seminar

25 FEB (3)
NTU Career Fair

January and February



1

March and April


6


7


8


4



5

Mar

07 MAR
MPA Briefing

09 MAR
NTU Actuary Profiling Talk

17 MAR
Media Briefing

18 MAR
SMU Marine Profiling Talk

28 MAR (4)
Maritime Knowledge Shipping Session 15

31 MAR (5)
Annual General Meeting, with CIGNA Europe Insurance Company S.A. –N.A., Singapore Branch joining as the 36th Member

Apr

08 APR
Pre-GIP Briefing

23 APR (6) (7) (8)
Pulau Semakau Landfill Trip

28 APR
Visit by Korea Non-Life Insurance Association

May and June


11


10


9

May

23–27 MAY
GIP Pre-Internship Training

27 MAY (9)
GIP Cocktail Reception

Jun

08 JUN (10)
Maritime Networking Night

21 JUN (11)
Maritime Knowledge Shipping Session 16

Jul

20 JUL
GIP Movie Screening

Aug

13 AUG (12) (13)
"Travelling & You" Seminar

19 AUG (14)
Special General Meeting and Principal Officers' Gathering

24 AUG
NTU Career Fair

July and August


12


13



14

Sep

08 SEP
Maritime Knowledge Shipping Session 17

Oct

01 OCT
Relocation of GIA

05 OCT (15)
Swing for Charity

14 OCT (16)
General Insurance Day: "Bowlin' Good Times"

28 OCT
Ex-GIP Interns' Gathering

Nov

01 NOV
Maritime Knowledge Shipping Session 18

16 NOV
Education Seminar Series: Fire

18 NOV
Special General Meeting

23–25 NOV (17)
37th ASEAN Insurance Council (AIC) Meeting & 14th ASEAN Insurance Regulators' Meeting (AIRM)

Dec

07 DEC (18) (19)
GIA Appreciation Night



15


16

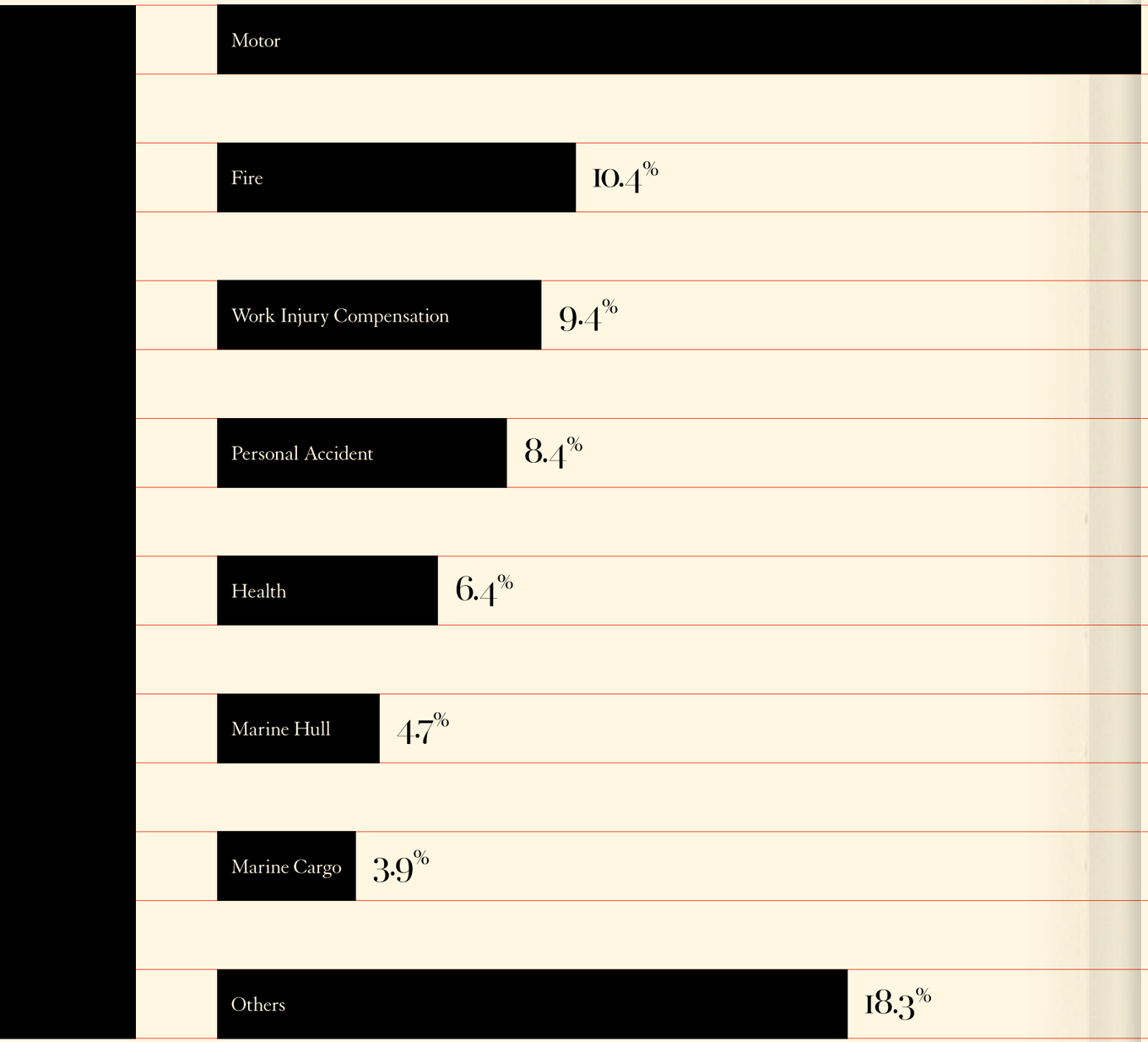

18


19


17

September, October, November and December

Review of Business



Singapore's General Insurance industry bucked the trend of slowdowns and losses seen in many markets last year amid catastrophic losses and global economic uncertainty.

Review of Business



TOTAL GROSS PREMIUMS WENT UP BY 4.5% TO $3.17 BILLION IN 2011, AN INCREASE FROM $3.03 BILLION IN THE YEAR PRIOR.

FROM AN INCREASE OF 4.4% IN THE YEAR PRIOR, THE INDUSTRY'S TOTAL UNDERWRITING PROFIT SHOT UP 25% TO REACH $248.3 MILLION IN 2011, UP FROM $198.1 MILLION IN 2010. LEADING THIS UPSURGE IN PROFIT WAS MOTOR WITH AN INCREASE OF 143% AFTER YEARS OF LOSSES.

All major classes of business posted growth, with Health recording the highest climb in earned premiums at 14% after seeing no growth in 2010. Personal Accident came in second with 8% growth, followed by Motor at 4.5%. After recording a 14% decline in earned premiums, Marine Cargo posted a healthy gain of 4%, followed by Work Injury Compensation at 3.8% and Fire at 2.3%. Marine Hull made the least growth among all major segments with only 0.3%, down from 4% in 2010.

MOTOR 38.5%

Motor sprang back to a state of health with an underwriting profit of $21.2 million – a robust rebound from a loss of $48.9 million in 2010. The last time it saw an underwriting profit was in 2005 ($46.4 million), one of only three years which Motor made a profit over the past 11 years. In 2004, it had posted an underwriting profit of $9.3 million.

These profits paled in comparison though with the underwriting losses Motor incurred over the past 11 years, with 2008 recording the biggest loss in that period at $214.1 million, followed by 2002 with $124 million.

Motor's premium growth, on the other hand, had been on a stable track since 2007 from a declining course between 2004 to 2006. Last year's earned premium stood at $1.087 billion, up 4.5% from $1.041 billion in 2010.

FIRE 10.4%

Fire posted an earned premium income of $134 million, a 2.3% increase from $131 million in 2010. It saw a sharp fall of 28% in its underwriting profit however from $62.9 million in 2010 to $45.5 million last year. This was a turnaround from its performance in 2010 when it posted a 21% rise in underwriting profit to $62.9 million over 2009.

WORK INJURY COMPENSATION (WIC) 9.4%

From being 2010's brightest performer with an underwriting profit soaring 141% to $5 million, WIC posted the biggest profit decline last year among all the major classes with an underwriting profit of $3.6 million – a dip of 28%. Nonetheless, this was still a better performance compared to its underwriting loss of $12 million in 2009.

Earned premiums grew slightly to $242 million, up 3.8% from $233.4 million in 2010.

PERSONAL ACCIDENT 8.4%

Personal Accident delivered another healthy growth of 8% in earned premiums with $202.5 million, up from $187.6 million in the year prior. However, it suffered a decline in underwriting profit from $49.6 million in 2010 to $44.9 million last year, down by 9.5%.

HEALTH 6.4%

Health made the biggest gain in earned premiums last year with $142 million, up 14% from $124.7 million in 2010.

It also made a robust recovery in underwriting profit. From a decline in the previous year, underwriting profit surged by 91% to $8.8 million last year.

MARINE HULL 4.7%

Marine Hull delivered the least growth in earned premiums last year with $55.2 million, scarcely up 0.3% from $55 million in the year prior.

Underwriting profit growth was strong. From a fall of 20% in 2010, it rose by 95% to register $13.6 million, up from $7 million, making it the second best performer after Motor.

MARINE CARGO 3.9%

From posting the biggest drop in earned premiums in 2010, Marine Cargo was back to growth last year with earned premiums of $76.2 million, up 4.1% from $73.1 million in 2010.

However, underwriting profit showed no improvement at $29.9 million, down 16% from $35.7 million in the year prior, following the 8% decrease it recorded in 2010.

OTHERS 18.3%

Of the specialty lines of business, only Bonds and Public Liability posted growth in earned premiums at 10% and 8.3% respectively. Bonds registered $62 million, up from $56.4 million in 2010, while Public Liability pulled in $61.2 million, up from $56.6 million.

The rest recorded declines in earned premiums, with Engineering/CAR/EAR witnessing the biggest decrease at 12%. Credit Insurance and Professional Indemnity posted a drop of 9% and 5.4% respectively.

On the other hand, Professional Indemnity made a record underwriting profit of $14.5 million, up 695% from $1.8 million in 2010. All other segments saw their underwriting profits dwindle.

INCURRED LOSS RATIOS

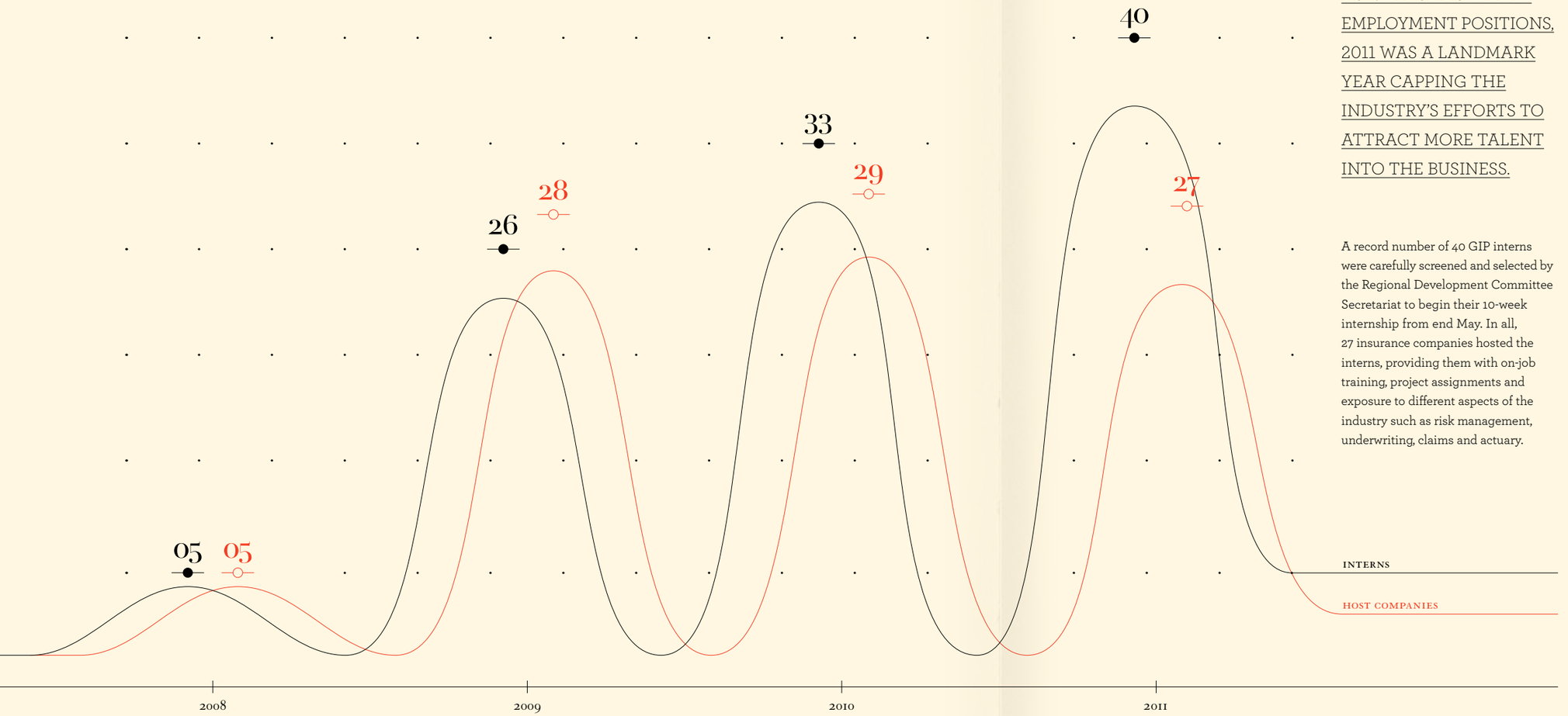
The industry's total incurred loss ratio stood at 54.8%, a 2.8% improvement from 57.6 % in the year prior.

Hull made the biggest progress in its incurred loss ratio with a 7.9% improvement from 61.9% in 2010 to 54.0% last year. This was followed by Motor with a 5.9% improvement to 67.8% from 73.7% in the year prior and Health with a 4.2% improvement from 62.1% to 57.9%, which was almost back to its 2009 level of 57.6%. WIC made a slight improvement from 68.4% to 68.0%.

Fire posted the biggest deterioration in incurred loss ratio, up 6.2% to 26.7% in 2011. Similarly, Cargo recorded a ratio of 21.6% last year, an increase of 4.1% from 17.6% in the previous period, while Personal Accident's ratio climbed slightly to 28.2% from 26.4%.

Industry Outreach

A Drawing more talent into the industry



WITH OVERWHELMING APPLICATIONS RECEIVED FOR THE GLOBAL INTERNSHIP PROGRAMME (GIP) AND CVS SUBMITTED TO GIA FOR FULL-TIME EMPLOYMENT POSITIONS, 2011 WAS A LANDMARK YEAR CAPPING THE INDUSTRY'S EFFORTS TO ATTRACT MORE TALENT INTO THE BUSINESS.

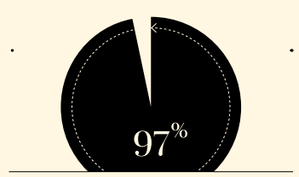
A record number of 40 GIP interns were carefully screened and selected by the Regional Development Committee Secretariat to begin their 10-week internship from end May. In all, 27 insurance companies hosted the interns, providing them with on-job training, project assignments and exposure to different aspects of the industry such as risk management, underwriting, claims and actuary.

A private screening of the movie Harry Potter & The Deathly Hallows: Part 2 was also organised to create networking and bonding opportunities for the GIP alumni. About 100 ex-interns attended the screening and enjoyed a great night out with family and friends.

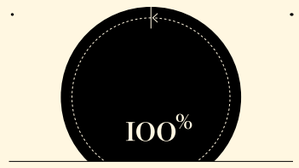
STATISTICS FROM A POST-GIP EVALUATION REPORT IN 2011 REVEALED THE FOLLOWING:



Interns:
Clear indication of GIP helping to define a career path in General Insurance



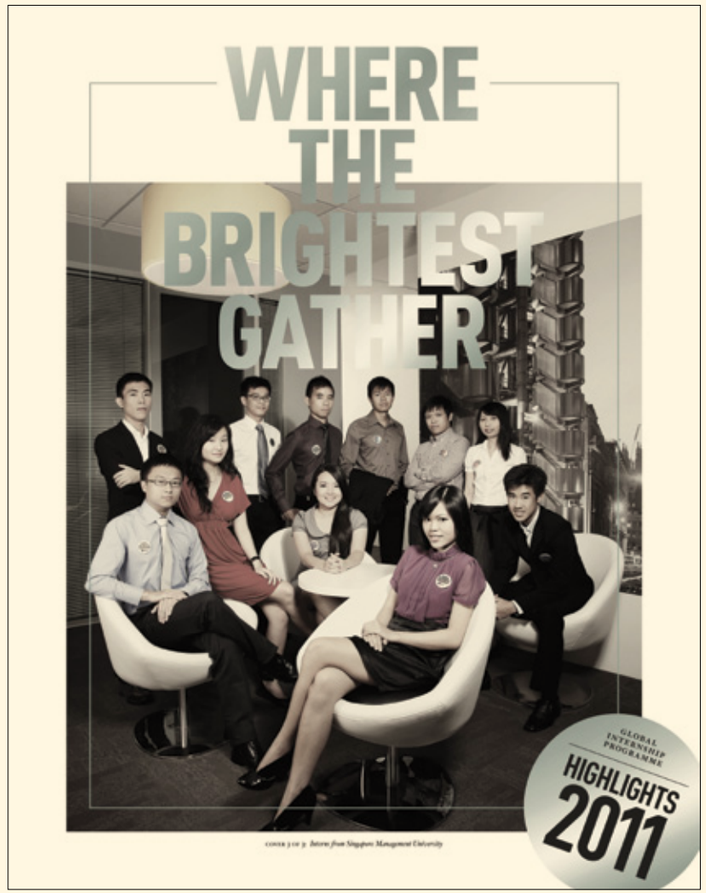
Host Companies:
Positive rating of overall GIP experience



Interns:
Would recommend GIP to peers







GIA continued with our Talent Outreach Project (TOP) for the fifth consecutive year in schools, junior colleges, universities and tertiary institutions. With a strong focus on the tertiary cohort, we participated in four career fairs and held three profiling talks at local universities to showcase the different job profiles available in the various industry sectors. A concerted effort was made to maintain consistency in our branding to attract young graduates into the industry.

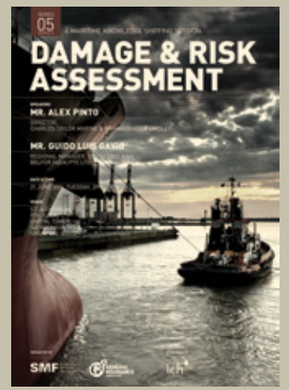








B Fostering greater understanding of the maritime industry



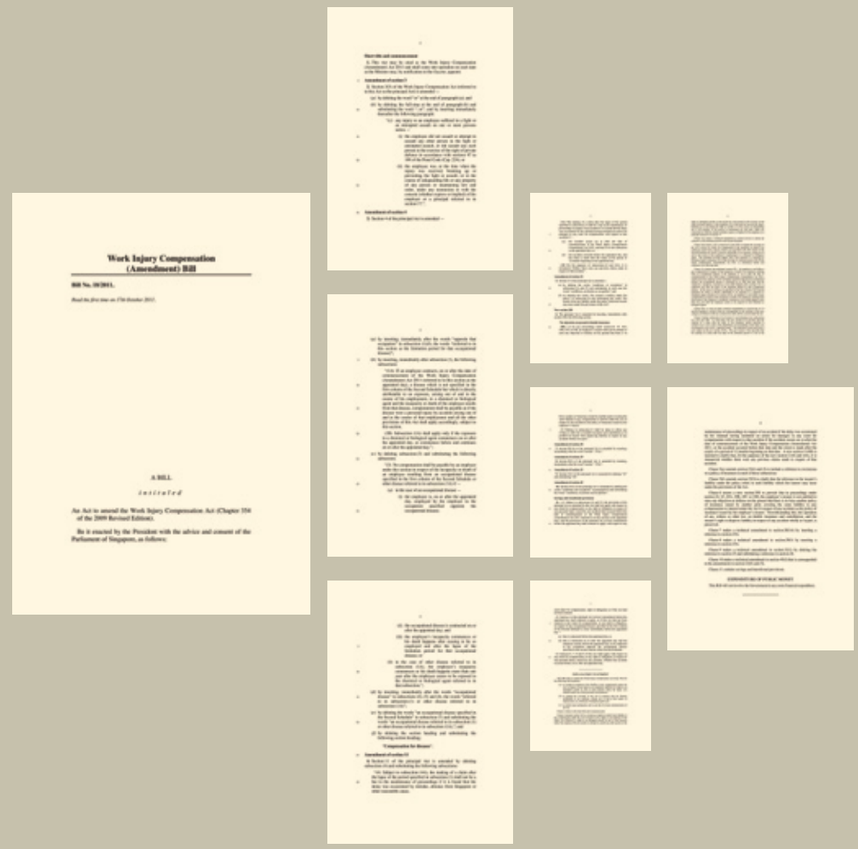






FOLLOWING UP ON OUR EFFORTS TO FOSTER GREATER SHARING OF KNOWLEDGE IN THE MARITIME INDUSTRY, GIA CONTINUED TO ORGANISE THE HIGHLY POPULAR MARITIME KNOWLEDGE SHIPPING SESSIONS ON A QUARTERLY BASIS IN 2011.

The topics covered in depth included Asset Play & Dispute Resolution, Damage & Risk Assessment, Maritime Risks & Claims, and Understanding Protection & Indemnity Clubs. Each session was attended by well over 150 participants and received positive feedback on the speakers' insights.



C WICA undergoes legislative amendments

GIA held discussions with the Ministry of Manpower to discuss the scope of coverage for compensable work injuries and occupational diseases under the Work Injury Compensation Act (WICA).

The proposed amendments were passed by the Singapore Parliament in November 2011. The legislative changes made were guided by two principles: To strike a fair balance between compensation for injured employees and the obligations placed on employers/insurers; and ensuring that the WICA framework remains expeditious with employees receiving their compensation promptly. The changes will take effect on 1 June 2012.

D Inaugural Education Seminar Series on Fire

To help General Insurance practitioners and members gain a better understanding of fire, alarm and destruction risks, GIA organised our first Education Seminar Series on Fire in November 2011. Turnout was excellent with 186 participants attending the inaugural seminar held jointly with the Singapore Civil Defence Force (SCDF) and National Fire and Civil Emergency Preparedness Council (NFEC). Feedback was positive as participants and stakeholders expressed keen interest to attend similar sessions in the future. •



FEEDBACK WAS POSITIVE AS PARTICIPANTS AND STAKEHOLDERS EXPRESSED KEEN INTEREST TO ATTEND SIMILAR SESSIONS IN THE FUTURE.



E "Bowlin' Good Times" on GI Day

NTUC INCOME'S BOWLIN' BUDDIES EMERGED TOPS AND TOOK HOME $1,500 WORTH OF SHOPPING VOUCHERS. BOWLIN' KAKIS, ALSO FROM NTUC INCOME, CAME IN SECOND, WHILE QBE'S VIKINGS WON THE THIRD SPOT.





GIA celebrated General Insurance Day with a fun-filled industry bowling event themed "Bowlin' Good Times" in October 2011.

Sixteen teams from 11 companies turned up in their company t-shirts with supporters and cheerleaders to participate in the competition. NTUC Income's Bowlin' Buddies emerged tops and took home $1,500 worth of shopping vouchers. Bowlin' Kakis, also from NTUC Income, came in second, while QBE's Vikings won the third spot. The Best Male Bowler award went to Mr. Keith Wong and Ms. Josephine Hong won the Best Female Bowler award. Both bowlers were from MSIG Insurance (Singapore) Pte Ltd.

On top of the fun and friendly competition, the bowling event provided a good platform for practitioners, particularly the younger professionals, to network and build new friendships. •

Public Outreach

F Motoring seminar makes a comeback



OVER 150 PARTICIPANTS TURNED UP TO LISTEN TO TOPICS INCLUDING TIPS TO BUY A NEW VEHICLE AND NEW SAFETY ENHANCING TECHNOLOGIES.

The Motor Insurance Taskforce (MITF) – co-chaired by the presidents of the Consumers Association of Singapore (CASE) and the Automobile Association of Singapore (AAS) and which GIA is a member of – continued its efforts to educate motorists and consumers on matters of motor vehicle ownership.

It organised the second "Motoring & You" seminar in January 2011 at Suntec City with the support of the Singapore Road Safety Council (SRSC) and MoneySense. Over 150 participants turned up to listen to topics ranging from tips to buy a new vehicle to the Consumer Protection Fair Trading Act, motor insurance and the Motor Claims Framework (MCF), and new safety enhancing technologies such as electronic stability control, warning and emergency braking systems. Before this, Mr. Lim Biow Chuan, Vice President of CASE, updated the delegates with a progress report on MITF's key recommendations. •

G Educating motorists on the Motor Claims Framework



STATISTICS REVEALED THAT MORE THAN 82% OF MOTOR ACCIDENTS WERE REPORTED WITHIN THE 24-HOUR TIME-FRAME.

A two-week publicity-cum-education campaign on the Motor Claims Framework (MCF) was held to raise awareness and support. Motorists were reminded of the MCF's key features during the morning and evening drive-time belts on both English and Mandarin radio channels. Statistics gathered after revealed that more than 82% of motor accidents were reported within the 24-hour time-frame – a positive indication that motorists had indeed received the message. •





Price should not be the key deciding factor when choosing a travel package or travel insurance. This was the message sent out to over 200 delegates at the first "Travelling & You" consumer education seminar on overseas travel.

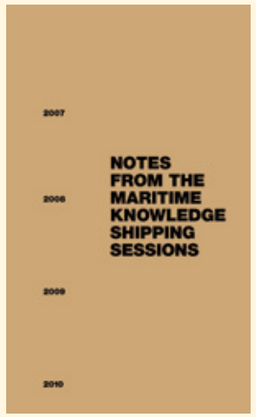
With more Singaporeans travelling frequently, the half-day public seminar stressed the need for travellers to be aware of what it takes to enjoy a pleasant and safe travel experience. Mr. Derek Teo, President of GIA, emphasised that travel insurance is an essential aspect of safe travel as it provides travellers with peace of mind when things go wrong. Mr. Lim Biow Chuan, Vice President of CASE, also shared that the number of complaint cases on travel industry-related matters had gone down from 1,062 in 2009 to 994 in 2010. He believed that the CaseTrust-NATAS accreditation scheme for travel agencies would continue to uphold high professional standards in the industry.

Held in August 2011, the seminar was organised by the National Association of Travel Agents Singapore (NATAS), CASE and GIA. •

H First travel insurance public seminar takes flight

THE NUMBER OF COMPLAINT CASES ON TRAVEL INDUSTRY-RELATED MATTERS HAD GONE DOWN FROM 1,062 IN 2009 TO 994 IN 2010.

I Maritime Networking Night



120 PROFESSIONALS FROM VARIOUS SECTORS OF THE MARITIME INDUSTRY GATHERED FOR A NIGHT OF NETWORKING AND RENEWING OLD TIES.

Organised in June 2011 at J Bar, M Hotel Singapore, the inaugural networking session was a joint effort between GIA and the Singapore Maritime Foundation (SMF). Mr. David Chin, Executive Director of SMF, and Mr. Mark Lim, Executive Director of GIA, welcomed guests and encouraged them to participate in Maritime Education seminars and events. SMF also screened a video montage showcasing the various activities that the Maritime industry was working on.

While enjoying a dinner buffet, the practitioners mingled to share their views and exchange business contacts. All guests went home with new business contacts as well the latest copies of the SMF magazine, GIA newsletter and a Maritime notepad. •





J Swing for Charity

AROUND 140 INDUSTRY PROFESSIONALS JOINED GIA AT TANAH MERAH GOLF AND COUNTRY CLUB'S TAMPINES COURSE FOR A DAY OF TEEING FUN.



Committed to support community causes through our annual "GIA Swing for Charity" golf event, GIA has raised more than $500,000 for nine beneficiaries since we first organised the tournament in 2006.

Around 140 industry professionals joined us at Tanah Merah Golf and Country Club's Tampines Course for a day of teeing fun. Mr. Lim Eng Thiam, an invited guest player by AXA Insurance Singapore Pte Ltd, won the Challenge Trophy.

The prize-giving dinner raised more than $100,000 for the Children's Aid Society, 2011's chosen beneficiary. This was a remarkable achievement given the looming global economic uncertainties then. •







K Facing liability and casualty challenges



The second "Liability and Casualty" seminar was held in February 2011 as a collaboration between the Singapore Insurance Institute and GIA. It brought focus to the fact that external factors such as globalisation, increased transparency, accountability and regulatory enforcements were driving directors and officers to change their attitudes towards risk and insurance. One speaker noted the increasing number of claims for Directors and Officers Liability across the international landscape, and shared the various policy options that could be considered for risk assessment.

Attended by 63 delegates, the seminar aimed to equip industry practitioners with the requisite knowledge to face liability and casualty challenges. •





L

Giving back to nature

EIGHTY INSURANCE PRACTITIONERS AND THEIR FAMILIES TURNED UP FOR THE PULAU SEMAKAU LANDFILL TOUR AND INTERTIDAL WALK.

Organised for the first time by GIA with the National University of Singapore's Raffles Museum of Biodiversity Research (RMBR), the trip was not only a refreshing change from urban life, but also an eye-opener to the variety and abundance of marine life inhabiting Pulau Semakau.

Before the event commenced, GIA presented a $5,000 cheque to the RMBR Museum Development Fund. •





Vietnam

Myanmar

Laos

Thailand

Cambodia

Brunei

Malaysia

Singapore

Philippines

Indonesia

















Regional Outreach

Hosting AIC & AIRM in Singapore

GIA HAD THE HONOUR OF CO-HOSTING VARIOUS MEETINGS, PLENARY SESSIONS, SOCIAL EVENTS AND A WELCOME DINNER FOR MORE THAN 100 DELEGATES FROM 10 ASEAN COUNTRIES.

One of last year's industry highlights was the hosting of the 37th ASEAN Insurance Council (AIC) Meeting and the 14th ASEAN Insurance Regulators' Meeting (AIRM). Both events were jointly organised by GIA, the Life Insurance Association (LIA) and the Monetary Authority of Singapore (MAS) in cooperation with the AIC Secretariat in November 2011.

GIA had the honour of co-hosting various meetings, plenary sessions, social events and a welcome dinner for more than 100 delegates from 10 ASEAN countries. Among the outcomes from the AIC committee meetings was a proposal to publish a journal on natural disasters for member countries and the formation of technical working groups within each country to conduct research/study on micro-insurance, natural catastrophes, solvency requirements and contract certainty. The joint plenary meeting between the AIRM and AIC raised issues such as the need to address the problem of under-penetration in the region and fraud management, which both parties recognised as requiring a joint partnership between the industry, pertinent agencies and regulators.

Also part of the three-day programme was the judges' deliberation over the winner of the Young ASEAN Manager Award 2011. It eventually went to Mr. Kevin Koh, AVP and Head of IT at Manulife (Singapore) Pte Ltd.

The AIC meeting was last held in Singapore in 2001. Mr. Derek Teo, President of GIA and co-organising chairman, noted, "It's been a decade since we last convened this August meeting here. There have been significant developments in insurance in the past few years which merit closer consultation in rolling out initiatives stemming from adopting Insurance Core Principles advanced by the International Association of Insurance Supervisors. Apart from fostering closer relationships and cooperation among the 10 members, such an event also promotes intra-regional trade for mutual benefits."

Established in 1978, AIC is the private sector body responsible for overseeing cooperation among the insurance industries of the 10 ASEAN countries: Brunei Darussalam, Cambodia, Indonesia, Laos, Malaysia, Myanmar, the Philippines, Singapore, Thailand and Vietnam. It aims to enhance professional standards in insurance practice, promote competency standards in grooming young managers and foster closer cooperation among countries and the rest of the world. •

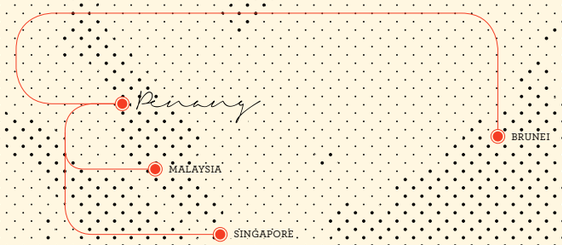












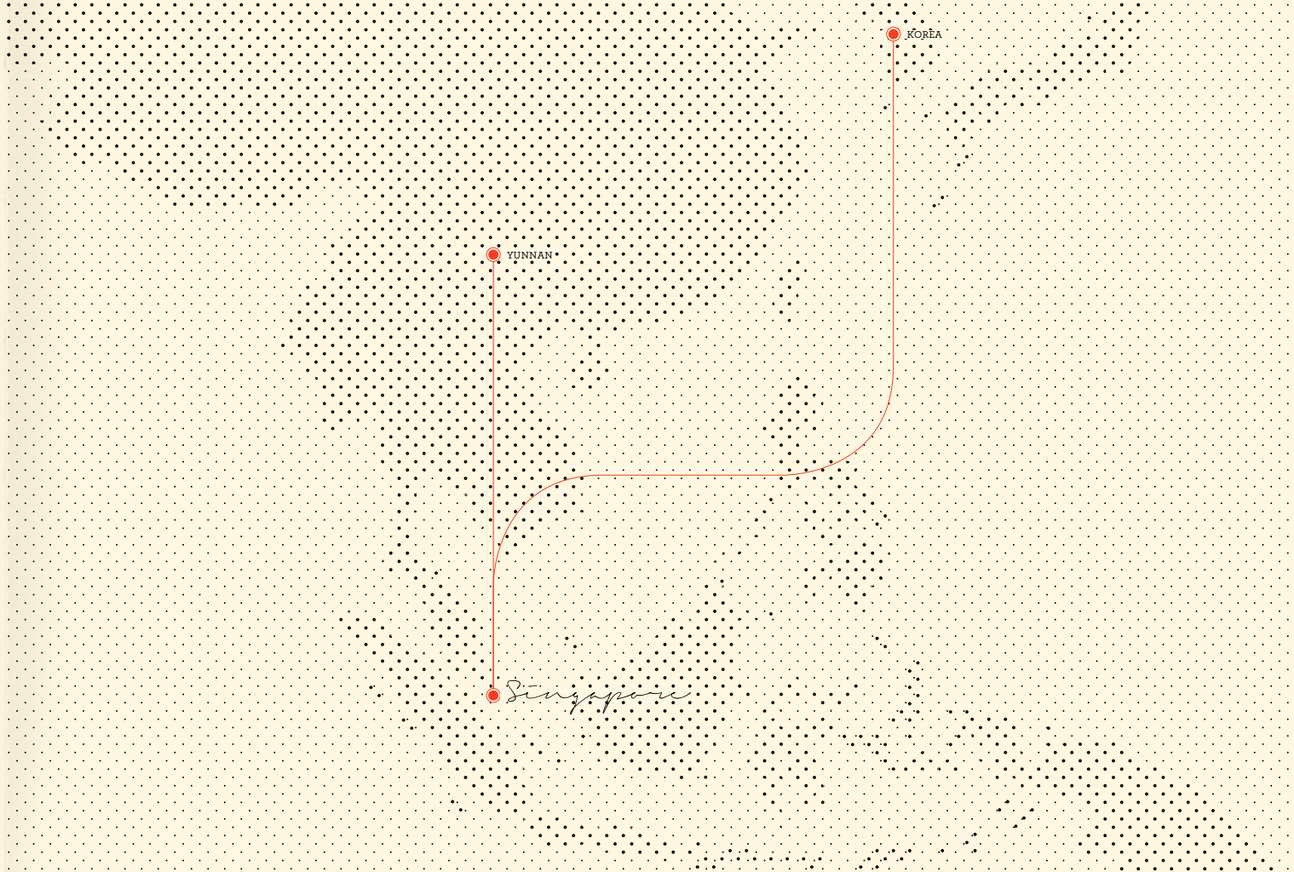
PIAM, GIA & GIAB Liaison Meeting

GIA participated in last year's annual PIAM/GIA/GIAB Liaison Meeting hosted by Malaysia's General Insurance Association, Persatuan Insurans Am Malaysia (PIAM) in Penang. During the meeting, PIAM, GIA and the General Insurance Association of Brunei (GIAB) updated each other on the performance of their respective insurance industries.

GIA presented its motor-related efforts such as the Motor Claims Framework (MCF), the development of the Barometer of Liability Agreement (BOLA) centralised online system, a pre-inspection requirement under the Non-Injury Motor Accident Protocol for third party property damage claims, and a new personal injury pre-action protocol for accidents involving personal injury.

Networking with regional markets

To foster greater camaraderie and networking with other General Insurance markets in Asia, GIA also hosted delegates visiting from various associations in the region. Among them were the Korea Non-Life Insurance Association in April, Korean Re Singapore in November, and the General Insurance Association of Yunnan (China) in December.



CHAPTER

III

In Grand Unison



WHILE DELIVERING AN ENCORE WORTHY PERFORMANCE, OUR PRUDENT FINANCIAL OUTLOOK ENSURES A HEALTHY AND BALANCED YEAR OF ACCOMPLISHMENTS.

STATEMENT BY THE MANAGEMENT COMMITTEE

General Insurance Association of Singapore

(UEN: S66SS0020G)

In our opinion, the accompanying financial statements of the General Insurance Association of Singapore (the "Association") set out on pages 70 to 89 are properly drawn up in accordance with the provision of Constitution of the Association and Singapore Financial Reporting Standards, so as to give a true and fair view of the state of affairs of the Association as at 31 December 2011 and of the results, changes in funds and cash flows of the Association for the financial year then ended on that date.

On behalf of the Management Committee,

Derek Teo

DEREK TEO
PRESIDENT

Michael Goodwin

DR. MICHAEL GOODWIN
VICE PRESIDENT

SINGAPORE, 12 MARCH 2012

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF GIA

REPORT ON THE FINANCIAL STATEMENTS

We have audited the accompanying financial statements of General Insurance Association of Singapore (the "Association"), which comprise the statement of financial position as at 31 December 2011, and the income and expenditure statement, statement of comprehensive income, statement of changes in fund and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes as set out on pages 70 to 89.

Management Committee's Responsibility for the Financial Statements

The Management Committee is responsible for the preparation of financial statements that give a true and fair view in accordance with the Constitution of the Association and Singapore Financial Reporting Standards, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair income and expenditure statement and balance sheet and to maintain accountability of assets.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Singapore Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Management Committee, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements are properly drawn up in accordance with the Constitution of the Association and Singapore Financial Reporting Standards, so as to give a true and fair view of the state of affairs of the Association as at 31 December 2011 and of the results, changes in funds and cash flows of the Association for the financial year then ended on that date.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

In our opinion, the accounting and other records required by the regulations enacted to Societies Act to be kept by the Association have been properly kept in accordance with those regulations.

Kreston David Yeung Pac

KRESTON DAVID YEUNG PAC
PUBLIC ACCOUNTANTS & CERTIFIED PUBLIC ACCOUNTANTS

SINGAPORE, 12 MARCH 2012

128A Tanjong Pagar Road Singapore 088535 T: 6223 7979 F: 6222 7979

STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2011

The notes set out on pages 76–89 form an integral part of and should be read in conjunction with this set of financial statements.

Assets

	NOTE	GIA 2011 S$	GIARMC 2011 S$	TOTAL 2011 S$	2010 S$
Non-current assets					
Plant and equipment	3	108,050	–	108,050	26,266
Current assets					
Trade receivables	4	16,741	65,910	82,651	74,244
Other receivables		45,202	1,509	46,711	16,542
Receivable from GIARMC		11,088	–	11,088	11,628
Deposits		115,438	–	115,438	82,315
Prepayments		88,918	93	89,011	14,238
Cash and cash equivalents		139,789	48,536	188,325	383,074
Total current assets		**417,176**	**116,048**	**533,224**	**582,041**
Total assets		**525,226**	**116,048**	**641,274**	**608,307**

Funds & Liabilities

	NOTE	GIA 2011 S$	GIARMC 2011 S$	TOTAL 2011 S$	2010 S$
Funds					
Accumulated funds		460,508	67,777	528,285	437,512
Current liabilities					
Trade payables		27,638	31,083	58,721	69,637
Accruals		31,362	6,100	37,462	55,439
Other payables		5,718	–	5,718	23,233
Amount due to GIA		–	11,088	11,088	11,628
Provision for taxation		–	–	–	10,858
Total current liabilities		**64,718**	**48,271**	**112,989**	**170,795**
Total liabilities		**64,718**	**48,271**	**112,989**	**170,795**
Total funds and liabilities		**525,226**	**116,048**	**641,274**	**608,307**

INCOME AND EXPENDITURE STATEMENT FOR THE YEAR ENDED 31 DECEMBER 2011

The notes set out on pages 76–89 form an integral part of and should be read in conjunction with this set of financial statements.

Income

	NOTE	GIA 2011 S$	GIARMC 2011 S$	TOTAL 2011 S$	TOTAL 2010 S$
Accident reports		–	324,481	324,481	295,693
Agents' registration fees		680,589	–	680,589	683,525
Agents' search fee		60	–	60	261
Brochures and decal income		1,338	–	1,338	11,342
Client Third Party Insurer Enquiry income		–	172,956	172,956	136,367
Gain on disposal of plant and equipment		935	–	935	–
GIA Swing for Charity		61,827	–	61,827	64,632
IUMI registration fee		3,461	–	3,461	3,395
Job Credit Scheme		–	–	–	5,669
Levies on Ordinary Members		1,284,489	–	1,284,489	848,885
MAS funding on Global Internship Programme		15,271	–	15,271	42,014
Motor-Barometer of Liability (BOLA)		514	–	514	1,028
Motor Insurance Seminar		4,560	–	4,560	–
Other income		1,657	–	1,657	–
Reimbursement from Motor Insurers' Bureau		20,777	–	20,777	20,980
Reimbursement from Special Risks Pool		–	–	–	12,740
Reimbursement from Financial Sector Development Fund		–	–	–	4,957
Repairers and Surveyors Searches		–	217,130	217,130	200,657
Singapore Insurance Institute/ Singapore Liability and Casualty Conference		6,808	–	6,808	600
Sponsorship – Singapore Maritime Foundation		20,766	–	20,766	4,217
		2,103,052	**714,567**	**2,817,619**	**2,336,962**
Less: Expenditure (PAGE 72)		**(2,335,285)**	**(403,656)**	**(2,738,941)**	**(2,404,453)**
Surplus/(deficits) before taxation		**(232,233)**	**310,911**	**78,678**	**(67,491)**
Less: Taxation	5	12,095	–	12,095	5,905
Net surplus/(deficits) for the year		**(220,138)**	**310,911**	**90,773**	**(61,586)**

INCOME AND EXPENDITURE STATEMENT FOR THE YEAR ENDED 31 DECEMBER 2011

The notes set out on pages 76–89 form an integral part of and should be read in conjunction with this set of financial statements.

Expenditure	NOTE	GIA 2011 S$	GIARMC 2011 S$	TOTAL 2011 S$	TOTAL 2010 S$
45th Anniversary expenses		9,333	–	9,333	–
Accounting services fee		8,300	26,400	34,700	31,140
Advertisement		60,487	–	60,487	2,649
Agents' Registration Board expenses		32,134	–	32,134	5,002
Auditors' remuneration		4,000	3,000	7,000	5,500
Bank charges		717	1,047	1,764	1,699
Computerisation services	6.1	173,376	–	173,376	134,013
Conference and seminar		–	–	–	754
Data storage		–	1,422	1,422	2,728
Depreciation of plant and equipment	3	30,233	–	30,233	22,301
Electricity		4,855	–	4,855	3,697
Entertainment and refreshment		5,909	–	5,909	9,243
Expenses incurred on GIA/PIAM/GIAB Liaison Meeting		4,635	–	4,635	6,646
External Relations Committee		–	–	–	24
General expenses		516	–	516	–
General Insurance Day		14,509	–	14,509	25,619
Gift and donation		–	–	–	42
GIA annual report		35,000	–	35,000	16,500
GIA Appreciation Night		17,454	–	17,454	35
GIA newsletter		23,929	–	23,929	12,445
GIA Swing For Charity expenses		62,182	–	62,182	64,765
GIA website		31,473	–	31,473	14,780
GIARMC and Filing Project		–	–	–	(1)
Insurance expenses		13,023	–	13,023	30,953
Internet expenses		8,220	–	8,220	9,947
IUMI conference expenses		3,491	–	3,491	–
Key management remuneration	6.2	487,806	–	487,806	437,039
Legal and professional fees		–	3,230	3,230	60,370
Management fees	6.3	–	363,985	363,985	384,046
Medical expenses		3,276	–	3,276	2,571
Meetings and seminars	6.4	157,243	–	157,243	23,715
Miscellaneous expenses		14,594	–	14,594	13,209
Motor expenses		139,045	–	139,045	149,974
Newspapers and publications		523	–	523	527
Office cleaning		7,753	–	7,753	11,424
Office moving cost		17,650	–	17,650	–
Office rental and services		244,104	–	244,104	249,950
Payroll services		11,070	–	11,070	11,340
Photocopier rental and printing expenses		11,136	–	11,136	14,268
Plant and equipment written off		188	–	188	–
Postages		472	2,415	2,887	2,639
Principal Officers' social gathering		6,436	–	6,436	9,367
Printing and stationery		7,718	1,915	9,633	9,417
Property expenses		3,633	–	3,633	–
Marine expenses		44,181	–	44,181	10,773
Public relations consultancy		69,132	–	69,132	67,648
Recruit agency fees		–	–	–	2,580
Regional Development Committee expenses	6.5	183,016	–	183,016	174,786
Risk Management expenses		–	–	–	300
Singapore Insurance Institute/ Singapore Liability and Casualty Conference		9,901	–	9,901	–
Sponsorships/Donations	6.6	71,350	–	71,350	27,500
Special Risks Pool – Legal fees		–	–	–	2,825
Staff costs	6.7	197,282	–	197,282	234,113
Subscriptions	6.8	9,005	–	9,005	9,700
Talent Outreach Project		71,199	–	71,199	77,745
Tax service fee		5,425	–	5,425	4,866
Team building activities expenses		6,826	–	6,826	3,301
Telecommunication		5,075	242	5,317	4,390
Transportation		2,168	–	2,168	926
Upkeep of office equipment and software		850	–	850	–
Warehousing		2,290	–	2,290	1,586
Work Injury, Personal Accident and Health		1,162	–	1,162	1,077
		2,335,285	**403,656**	**2,738,941**	**2,404,453**

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2011

The notes set out on pages 76–89 form an integral part of and should be read in conjunction with this set of financial statements.

Comprehensive Income

	GIA 2011 S$	GIARMC 2011 S$	TOTAL 2011 S$	2010 S$
Net surplus/(deficit) for the year (PAGE 71)	(220,138)	310,911	90,773	(61,586)
Other comprehensive income	–	–	–	–
Total comprehensive income for the year	**(220,138)**	**310,911**	**90,773**	**(61,586)**

STATEMENT OF CHANGES IN FUNDS FOR THE YEAR ENDED 31 DECEMBER 2011

The notes set out on pages 76–89 form an integral part of and should be read in conjunction with this set of financial statements.

Changes in Funds

	GIA S$	GIARMC S$	TOTAL S$
Balance as at 01.01.2010	384,680	114,418	499,098
Total comprehensive income	(214,034)	152,448	(61,586)
Transfer of fund from/(to)	**150,000**	**(150,000)**	**–**
Balance as at 31.12.2010/01.01.2011	320,646	116,866	437,512
Total comprehensive income	(220,138)	310,911	90,773
Transfer of fund from/(to)	**360,000**	**(360,000)**	**–**
Balance as at 31.12.2011	**460,508**	**67,777**	**528,285**

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2011

The notes set out on pages 76–89 form an integral part of and should be read in conjunction with this set of financial statements.

Cash Flows

	2011 S$	2010 S$
Cash flows from operating activities:-		
Surplus/(deficits) before taxation	78,678	(67,491)
Adjustments for:-		
Depreciation of plant and equipment	30,233	22,301
Gain on disposal of plant and equipment	(935)	–
Plant and equipment written off	188	–
Operating surplus/(deficits) before changes of working capital	**108,164**	**(45,190)**
Changes of working capital:-		
(Increase)/decreased in trade and other receivables	(146,472)	80,735
(Decrease)/increased in trade and other payables	(46,408)	90,733
Cash (used in)/generated from operating activities	**(84,716)**	**126,278**
Income tax paid	–	(1,237)
Income tax refunded	1,237	–
Net cash (used in)/generated from operating activities	**(83,479)**	**125,041**
Cash flows from investing activities		
Purchase of plant and equipment	(112,205)	(5,705)
Proceeds from disposal of plant and equipment	935	–
Net cash used in investing activities	**(111,270)**	**(5,705)**
Net (decrease)/increase in cash and cash equivalents	**(194,749)**	**119,336**
Cash and cash equivalents at the beginning of the year	383,074	263,738
Cash and cash equivalents at the end of the year	**188,325**	**383,074**

NOTE 1 : GENERAL

General

The General Insurance Association of Singapore is registered under the Societies Act, Chapter 311. The registered office is located at 180 Cecil Street #07-02, Bangkok Bank Building, Singapore 069546.

The principal activities of the Association relate to the protection, promotion, advancement and the doing of all things in furtherance of the common interests of members and the general insurance industry.

The financial statement of the Association for the year ended 31 December 2011 were authorised for issue in accordance with a resolution by the Management Committee on 12 March 2012.

The financial statements of the Association are expressed in Singapore dollars (S$ or SGD).

NOTE 2 : SIGNIFICANT ACCOUNTING POLICIES

Significant Accounting Policies

A) BASIS OF PREPARATION

The financial statements of the Association have been prepared in accordance with the historical cost convention, except as disclosed in the accounting policies below, and are drawn up in accordance with the provisions of the Singapore Financial Reporting Standards ("FRS") including its related Interpretation.

In the current financial year, the Association has adopted all the new and revised FRS and Interpretations of FRS ("INT FRS") that are relevant to its operations and effective for annual periods beginning on or after 1 January 2011. The adoption of these new/revised FRSs and INT FRSs have no material effect on the financial statements.

B) SIGNIFICANT ACCOUNTING ESTIMATES AND JUDGEMENTS

Estimates, assumption concerning the future and judgements are made in the preparation of the financial statements. They affect the application of the Association's accounting policies, reporting amounts of assets, liabilities, income and expenses and disclosures made. They are assessed on an on-going basis and are based on experience and relevant factors, including expectations of future events that are believed to be reasonable under the circumstances.

The critical accounting estimates and assumptions used and areas involving a high degree of judgement are described below.

Critical assumptions used and accounting estimates in applying accounting policies

Income tax

The Association recognises liabilities for expected tax issues based on estimates of whether additional tax will be due. When the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

Useful lives of plant and equipment

As described in Note 2(c), the Association reviews the estimated useful lives of plant and equipment at the end of each annual reporting period. The estimated useful lives reflect the Management's estimation of the periods that the Association intends to derive future economic benefits from the use of the Association's plant and equipment. Changes in the expected level of usage and the residual values of these assets, therefore future depreciation charges could be revised.

The carrying amount of plant and equipment as at the end of the reporting period are disclosed in Note 3 to the financial statements.

Critical judgements made in applying accounting policies

In the process of applying the entity's accounting policies, management had made the following judgements that have the most significant effect on the amounts recognised in the financial statements.

Allowance for bad and doubtful debts

The Association makes allowances for bad and doubtful debts based on assessment of the recoverability of trade and other receivables. Allowances are applied to trade and other receivables where events or changes in circumstances indicate that the balances may not be collectible. The identification of bad and doubtful debts required the use of judgement and estimates. Where the expected outcome is different from the original estimate, such difference will impact carrying value of trade and other receivables and doubtful debt expenses in the period in which such estimate had been made.

Impairment of plant and equipment

The Association assesses annually whether plant and equipment have any indication of impairment in accordance with the accounting policy. The recoverable amounts of plant and equipment have been determined based on value-in-use calculations. These calculations require the use of judgement and estimates.

C) PLANT AND EQUIPMENT

All items of plant and equipment are initially recorded at cost. Such cost includes the cost of replacing part of the plant and equipment. The cost of an item of plant and equipment is recognised as an asset if, and only if, it is probable that future economic benefits associated with the item will flow to the Association and the cost of the item can be measured reliably.

Subsequent to recognition, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is calculated on a straight-line method so as to write off the costs of the plant and equipment over their estimated useful live as follows:-

Office equipment	3 years
Computers	3 years
Furniture and fittings	3 years
Renovation	3 years

The carrying values of plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

The residual values, useful live and depreciation method are reviewed at each financial year-end to ensure that amount, method and period of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of plant and equipment.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset is included in the income and expenditure statement in the year the asset is derecognised.

D) CASH AND CASH EQUIVALENTS

Cash and cash equivalents comprise cash in hand and at bank which are readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

E) FINANCIAL ASSETS

Initial recognition and measurement

Financial assets are recognised on the statement of financial position when, and only when, the Association becomes a party to the contractual provisions of the financial instrument. The Association determines the classification of its financial assets at initial recognition.

When financial assets are recognised initially, they are measured at fair value, plus, in the case of financial assets not at fair value through income and expenditure statement, directly attributable transaction costs.

Subsequent measurement

Loans and receivables

Non-derivative financial assets with fixed or determinable payments that are not quoted in an active market are classified as loans and receivables. Subsequent to initial

recognition, loans and receivables are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in income and expenditure statement when the loans and receivables are derecognised or impaired, and through the amortisation process.

The Association classified the following financial assets as loans and receivables:

- Cash and cash equivalents
- Trade and other receivables

Derecognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in income and expenditure statement.

All regular way purchases and sales of financial assets are recognised or derecognised on the trade date, i.e the date that the Association commits to purchase or sell the asset. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the period generally established by regulation or convention in the marketplace concerned.

F) IMPAIRMENT OF FINANCIAL ASSETS

The Association assesses at the end of each reporting period whether there is any objective evidence that a financial asset is impaired.

Financial assets carried at amortised cost

For financial assets carried at amortised cost, the Association first assesses individually whether objective evidence of impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the Association determines that no objective evidence of impairment exists for an individually assessed financial assets, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be recognised are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss on financial assets carried at amortised cost has incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account. The impairment loss is recognised in income and expenditure statement.

When the asset becomes uncollectible, the carrying amount of impaired financial assets is reduced directly or if an amount was charged to the allowance account, the amounts charged to the allowance account are written off against the carrying value of the financial asset.

To determine whether there is objective evidence that an impairment loss on financial assets has incurred, the Association considers factors such as the probability of insolvency or significant financial difficulties of the debtor and default or significant delay in payments.

If in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed to the extent that the carrying amount of the asset does not exceed its amortised cost at the reversal date. The amount of reversal is recognised in income and expenditure statement.

G) FINANCIAL LIABILITIES

Initial recognition and measurement

Financial liabilities are recognised on the statement of financial position when, and only when, the Association becomes a party to the contractual provisions of the financial instrument. The Association determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value and in the case of financial liabilities, plus, directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in income and expenditure statement when the liabilities are derecognised, and through the amortisation process.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in income and expenditure statement.

H) IMPAIRMENT OF NON-FINANCIAL ASSETS

The Association assesses at each reporting date whether there is indication that an asset may be impaired. If any indication exists, or when an annual impairment assessment for an asset is required, the Association makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. When the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows expected to be generated by the asset are discounted to their present value.

Impairment losses are recognised in income and expenditure statement.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Association estimates the asset's or cash-generating unit's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in income and expenditure statement.

I) CONTINGENCIES

A contingent liability is:-

a) a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Association; or

b) a present obligation that arises from past events but is not recognised because:

   i) It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or

   ii) The amount of the obligation cannot be measured with sufficient reliability.

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Association.

Contingent liabilities and assets are not recognised on the statement of financial position of the Association, except for contingent liabilities assumed in a business combination that are present obligations and which the fair values can be reliably determined.

J) PROVISIONS

Provisions are recognised when the Association has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of economic resources will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed.

K) REVENUE RECOGNITION

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Association and the revenue can be reliably measured. Revenue is measured at the fair value of consideration received or receivable.

Income from accident and search reports is recognised when the significant risks and rewards of ownership have been transferred to the buyers.

Agents' registration fees received by the Association are credited to the income and expenditure statement over the period of the registration.

The entrance fee is recognised in full in the year in which new members are admitted.

Interest income is recognised using the effective interest method.

L) GIA RECORDS MANAGEMENT CENTRE (GIARMC)

On 1 May 1999, a Market Agreement was entered into with members of the Association to operate the Non-Injury Motor Accident Reports Scheme.

In connection with the Scheme, the GIA Records Management Centre (the Centre) was established for the purpose of the archival and retrieval of records.

The Association has appointed Merimen Technologies (Singapore) Pte Ltd as the manager to provide the staff and facilities to the Centre. Beside that they also keep and maintain the accounting records and bank account for the Centre. Merimen Technologies (Singapore) Pte Ltd will charge the Association according to the monthly contracted rates for the services rendered.

M) INCOME TAXES

Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the end of the reporting period, in the countries where the Association operates and generates taxable surplus.

Current income taxes are recognised in income and expenditure statement except to the extent that the tax relates to items recognised outside income and expenditure statement, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets and liabilities are recognised for all taxable temporary differences, except:

- Where the deferred tax relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable surplus or deficit; and
- In respect of deductible temporary differences and carry-forward of unused tax credits and unused tax losses, if it is not probable that taxable surplus will be available against which the deductible temporary difference and carry-forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at the end of each reporting period and are recognised to the extent that it has become probable that future taxable surplus will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the end of each reporting period.

Deferred tax relating to items recognised outside income and expenditure statement is recognised outside income and expenditure statement. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred income taxes relate to the same taxable entity and the same taxation authority.

Sales tax

Revenues, expenses and assets are recognised net of the amount of sales tax except:

- Where the sales tax incurred in a purchase of assets or services is not recoverable from the taxation authority, in which case the sales tax is recognised as part of the cost of acquisition of the asset or as part of the expense item as applicable; and
- Receivables and payables that are stated with the amount of sales tax included.

The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

N) FUNCTIONAL AND FOREIGN CURRENCY

Functional currency

The management has determined the currency of the primary economic environment in which the Association operates i.e. functional currency, to be SGD. Sales prices and major costs of providing goods and services including major operating expenses are primarily influenced by fluctuations in SGD.

Transactions and balances

Transactions in foregin currencies are measured in the functional currency of the Association and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the end of the reporting period. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in income and expenditure statement.

O) EMPLOYEE BENEFITS

Defined Contribution Plan

As required by law, the Association makes contributions to the Central Provident Fund (CPF). CPF contributions are recognised compensation as expenses in the same period as the employment that gives rise to the contribution.

Employee Leave Entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. Accrual is made for the unconsumed leave as a result of services rendered by employees up to the end of the reporting period.

P) KEY MANAGEMENT PERSONNEL

Key management personnel are those having authority and responsibility for planning, directing and controlling the activities of the Association. The executive director and managers are considered as key management personnel of the Association.

Q) OPERATING LEASES

Leases where the lessor effectively retains substantially all the risks and benefits of ownership of the leased item are classified as operating lease. Operating lease payments are recognised as an expense in the income and expenditure statement on a straight-line basis over the lease term.

NOTE 3: PLANT AND EQUIPMENT

Cost

	OFFICE EQUIPMENT S$	COMPUTERS S$	FURNITURE & FITTINGS S$	RENOVATION S$	TOTAL 2010 S$
At 01.01.2010	14,208	359,347	150,078	19,185	542,818
Additions	1,790	3,915	–	–	5,705
At 31.12.2010/01.01.2011	15,998	363,262	150,078	19,185	548,523
Additions	7,091	2,100	1,500	101,514	112,205
Written off	(5,319)	(42,670)	(146,473)	(19,185)	(213,647)
At 31.12.2011	17,770	322,692	5,105	101,514	447,081

Accumulated Depreciation

At 01.01.2010	14,182	320,308	150,057	15,409	499,956
Charge for the year	306	18,531	21	3,443	22,301
At 31.12.2010/01.01.2011	14,488	338,839	150,078	18,852	522,257
Charge for the year	1,187	18,461	125	10,460	30,233
Written off	(5,131)	(42,670)	(146,473)	(19,185)	(213,459)
At 31.12.2011	10,544	314,630	3,730	10,127	339,031

Net Book Value

At 31.12.2011	7,226	8,062	1,375	91,387	108,050
At 31.12.2010	1,510	24,423	–	333	26,266

NOTE 4: TRADE RECEIVABLES

Trade receivables are non-interest bearing and are generally on immediate to about 30 days term. They are recognised at their original invoiced amounts which represent their fair values on initial recognised. These receivables are unsecured and the analysis of their aging at the end of the reporting period is as follows:-

Trade Receivables

	GIA 2011 S$	GIARMC 2011 S$	TOTAL 2011 S$	TOTAL 2010 S$
Not past due	1,391	56,184	57,575	53,656
Past due 1–30 days	2,651	5,674	8,325	11,995
Past due 31–60 days	4,978	3,446	8,424	3,732
Past due more than 60 days	7,721	606	8,327	4,861
	16,741	**65,910**	**82,651**	**74,244**

The trade receivables that are past due at the end of the reporting period but not impaired amounting to S$25,076 (2010: S$20,588).

NOTE 5: TAXATION

Taxation

	2011 S$	2010 S$
Provision for income tax in respect of the financial year:-		
Current year income tax	–	8,700
Overprovision in prior years	(12,095)	(14,605)
	(12,095)	**(5,905)**

The income tax expense on the results for the financial year varies from the amount of income tax determined by applying the Singapore standard rate of income tax to surplus/(deficits) before taxation due to the following factors:-

Surplus/(deficits) before taxation	**78,678**	**(67,491)**
Tax calculated at a tax rate of 17%	13,375	(11,473)
Expenses not deductible for tax purposes	22,790	49,285
Income not subject to tax	(10,511)	(18,326)
Singapore statutory stepped income exemption	–	(9,543)
Overprovision in prior years	(12,095)	(14,605)
Unrecognised deferred tax asset	(25,027)	–
Others	(627)	(1,243)
	(12,095)	**(5,905)**

As at the end of the reporting period, the Association had unabsorbed donation of approximately S$133,000 (2010: S$Nil) which is available for offsetting against its future taxable income subject to agreement with the Comptroller of Income Tax and compliance with the relevant provisions of Singapore Income Tax Act. No deferred tax asset is recognised due to uncertainty of its recovery.

NOTE 6: EXPENDITURE

6.1 Computerisation Services

	2011 S$	2010 S$
Agents' Registration and CPD Management System (ARCM) expenses consist of:-		
– Hard/Software	–	300
– Hardware maintenance	31,700	1,690
– Meeting and seminar	775	600
– Litigation monitoring services	4,550	3,850
– Storage fee	1,396	423
– Change request	9,925	2,750
– System support	31,000	32,000
– Hosting services	84,560	84,000
General expenses (IT support)	9,470	8,400
	173,376	**134,013**

6.2 Key Management's Remuneration

	2011 S$	2010 S$
Salaries and other costs	454,800	408,822
Employer's contribution to CPF	33,006	28,217
	487,806	**437,039**

6.3 Management Fees

Amount paid/payable to E-Trek Solutions Pte Ltd S$Nil (2010: S$149,339) and Merimen Technologies (Singapore) Pte Ltd S$363,985 (2010: S$234,707) for managing the day-to-day affairs of the Association, as disclosed in Note 2(L) to the financial statements.

6.4 Meetings & Seminars

	2011 S$	2010 S$
Annual General Meeting	14,906	12,556
ASEAN Insurance Council (AIC) Meeting	110,489	2,883
East Asian Insurance Congress (EAIC) Meeting	–	7,636
Meeting and seminar	31,848	640
	157,243	**23,715**

NOTE 6: EXPENDITURE

6.5 Regional Development Committee Expenses

	2011 S$	2010 S$
Global Internship Programme	182,830	174,786
Courier and postage	186	–
	183,016	**174,786**

6.6 Sponsorships/Donations

	2011 S$	2010 S$
CASE 45th Anniversary Gala Dinner 2011	2,500	–
Association of Singapore Insurance Agents – Golf Day	4,000	–
CASE Fund Raising Golf Tournament	–	2,500
National University of Singapore Museum fund	5,000	–
National Crime Prevention Council Charity Golf Tournament	5,000	5,000
National Crime Prevention Council 30th Anniversary Gala Dinner 2011	5,000	–
National Fire and Civil Emergency Preparedness Council (NFEC)	6,050	–
Singapore Children's Society	–	15,000
Singapore College of Insurance	1,800	–
Singapore Insurance Institute (SII)	5,000	5,000
Children's Aid Society	15,000	–
Singapore Road Safety Council Anti-Drink Drive Campaign 2011	22,000	–
	71,350	**27,500**

6.7 Staff Costs

	2011 S$	2010 S$
Salaries and other costs	171,588	205,214
Employer's contribution to CPF	25,694	28,899
	197,282	**234,113**

6.8 Subscriptions

	2011 S$	2010 S$
ASEAN Insurance Council (AIC)	1,998	3,457
International Union of Maritime Insurance (IUMI)	7,007	6,243
	9,005	**9,700**

NOTE 7: OPERATING LEASE COMMITMENTS

The Association leases office premises and equipment under non-cancellable operating leases agreement. None of these leases included contingent rent. Office and equipment rental expenses for the financial year were S$244,104 (2010: S$249,950) and S$7,960 (2010: S$9,350) respectively. Future minimum rentals under non-cancellable leases are as follows as of 31 December:-

Operating Lease Commitments

	2011 S$	2010 S$
Amount due within 1 year	190,362	206,853
Amount due within 2 and 5 years	367,397	5,432
	557,759	**212,285**

NOTE 8: FINANCIAL INSTRUMENTS

Financial Instruments

FINANCIAL RISK MANAGEMENT OBJECTIVE AND POLICIES

The main risks arising from the Association's financial instruments are credit risk, interest rate risk, foreign currency risk and liquidity risk. The Association does not use derivative and other instruments in its risk management activities. The Association does not hold, use or issue derivative financial instruments for trading purposes. The Management Committee reviews and agrees policies for managing each of these risks and these risks are summarised below:

CREDIT RISK

The main credit risk is from any default by its trade receivables. The Association grants credit only to credit-worthy counter parties. Management Committee also closely monitors all outstanding debts and reviews the collectability of receivables periodically. The Association does not identify any specific concentration of credit risk with regard to the receivables balances resemble a large number of receivables from a large number of members.

Cash and cash equivalents are deposited in financial institutions with high rating.

The carrying amount of financial assets recorded in the financial statements, net of any provision for losses, represents the Association's maximum exposure to credit risk without taking into account of the value of any collateral or other security obtained.

INTEREST RATE RISK

The Association's exposure to market risk for changes in interest rates relates primarily to the Association's bank balance. However, as at year end, the exposure is insignificant.

FOREIGN CURRENCY RISK

The Association's operational activities are carried out in Singapore dollars. All transactions are paid for in local currency. There is no exposure to any risk arising from movements in foreign currencies exchange rates as the Association has no transactions in foreign currency.

LIQUIDITY RISK

In the management of liquidity risk, the Association monitors and maintains a level of cash and bank balances deemed adequate by the Management Committee to finance the Association's operations and mitigate the effects of fluctuations in cash flows.

NOTE 9: CATEGORIES OF FINANCIAL INSTRUMENTS

The following table sets out the financial instruments as at the end of the reporting period:-

Assets

	2011 S$	2010 S$
Financial assets		
Loans and receivables:-		
Trade receivables	82,651	74,244
Other receivables and deposits	162,149	98,857
Cash and cash equivalents	188,325	383,074
	433,125	**556,175**

Liabilities

	2011 S$	2010 S$
Financial liabilities		
Amortised cost:-		
Trade payables	58,721	69,637
Other payables	5,718	23,233
Accruals	37,462	55,439
	101,901	**148,309**

NOTE 10: FAIR VALUE

Fair Value

The carrying amount of financial assets and financial liabilities recorded in the financial statements represents their respective fair values, determined in accordance with the accounting policies disclosed in Note 2 to the financial statements.

NOTE 11: COMPARATIVE FIGURES

Comparative Figures

Certain comparative figures and related notes have been reclassified.
The comparative figures reclassified are as follows:

	AS PREVIOUSLY REPORTED S$	EFFECT OF PRIOR YEAR ADJUSTMENT S$	AS RESTATED S$
At 31.12.2010			
Income & Expenditure Statement			
Key management remuneration	290,047	146,992	437,039
Staff costs	**381,105**	**(146,992)**	**234,113**

Prior year's financial statements have been restated due to reclassification for managers' remuneration from staff costs to key management remuneration.

NOTE 12: NEW OR REVISED ACCOUNTING STANDARDS AND INTERPRETATIONS

New or Revised Accounting Standards and Interpretations

The Association has not applied the following FRSs that have been issued but not yet effective:-

DESCRIPTION		EFFECTIVE FOR ANNUAL PERIODS BEGINNING ON OR AFTER
Framework	The Conceptual Framework for Financial Reporting 2010 (Chapters 1 and 3)	1 March 2011
Revised FRS 19	Employee Benefits	1 January 2013
FRS 27	Separate Financial Statements	1 January 2013
FRS 28	Investments in Associates and Joint Ventures	1 January 2013
FRS 110	Consolidated Financial Statements	1 January 2013
FRS 111	Joint Arrangements	1 January 2013
FRS 112	Disclosure of Interests in Other Entities	1 January 2013
FRS 113	Fair Value Measurements	1 January 2013
Amendments to FRS 1	Presentation of Items of Other Comprehensive Income	1 July 2012
Amendments to FRS 12	Deferred Tax: Recovery of Underlying Assets	1 January 2012
Amendments to FRS 101	Severe Hyperinflation and Removal of Fixed Dates for First-time Adopters	1 July 2011
Amendments to FRS 107	Disclosures – Transfers of Financial Assets	1 July 2011

The initial application of these Standards, Amendments and Interpretations are not expected to have any material impact on the Association's financial statements.

The Association has not considered the impact of Accounting Standards issued after the end of reporting period.

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